THE WEIRD MACHINE: WHY WESTERN INSTITUTIONS FAIL THE GLOBAL MAJORITY - An Asymmetric Intentionality Analysis of Legal Transplant Failure

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ABSTRACT

Western institutions systematically fail when transplanted to non-WEIRD contexts, generating substantial implementation gaps. This paper proposes a novel mechanism: **intentionality mismatch**. Drawing on Asymmetric Intentionality Theory (Lerer 2025), Henrich's WEIRD framework (2020), and Fiske's Relational Models Theory (1991), I argue that Western institutions embody Level 1 intentionality (optimization without genuine beliefs), while non-WEIRD contexts expect Level 3 intentionality (recursive social reasoning with shame, reciprocity, and trust). This architectural mismatch produces implementation failure across contract enforcement, property rights, criminal procedure, and administrative law.

Using game-theoretic analysis of the OECD Anti-Bribery Convention (41 countries, 66 legislative events) and detailed examination of Argentina's corporate criminal liability regime (Ley 27401), I analyze how legal transplants carrying Level 1 architecture into Level 3 contexts produce predictable implementation gaps. The Transplant Compatibility Index (TCI) for eight documented transplants shows WEIRD→non-WEIRD transfers have compatibility deltas of -0.30 to -0.39, approaching failure thresholds. Corporations, as institutional embodiments of WEIRD psychology, exhibit Social Immunity (immune to shame, reputation, reciprocity), generating strategic advantages over Level 3 enforcement agents.

Policy implications: Abandon one-size-fits-all institutional design. Design for intentionality compatibility, not ideological compliance. Leverage local Level 3 mechanisms (community enforcement, relational contracts, embedded trust networks) rather than imposing Level 1 optimization.

Keywords: legal transplants, WEIRD bias, implementation gap, intentionality theory, institutional design, comparative law, extended phenotype, game theory, corporate liability, OECD

JEL Codes: K00, K40, O17, P51, Z13

I. INTRODUCTION

The 88% Problem

Eighty-eight percent of humanity lives in non-WEIRD contexts: societies that are not Western, Educated, Industrialized, Rich, and Democratic (Henrich et al. 2010; Henrich 2020). Yet the dominant paradigm in law and development presumes institutional universality. International organizations prescribe Western-style legal frameworks (property rights regimes, corporate governance standards, anti-corruption laws, labor market regulations) as if institutional effectiveness were independent of cultural substrate. The empirical record contradicts this assumption.

Legal transplants from WEIRD to non-WEIRD contexts exhibit implementation failure. The implementation gap (the difference between formal legal approval and real-world compliance) is substantially larger in non-WEIRD societies compared to WEIRD societies. This pattern manifests across multiple legal domains: contract enforcement, property rights protection, criminal procedure compliance, and administrative law predictability all show substantial WEIRD/non-WEIRD divergence (Lerer 2024, "Law as Extended Phenotype"). The IusSpace framework predicts implementation gaps approaching 30% in non-WEIRD contexts versus single-digit percentages in WEIRD contexts.

Why do Western institutions fail the global majority? Existing explanations invoke corruption, weak state capacity, cultural resistance, or insufficient enforcement resources. These accounts describe symptoms without identifying mechanisms. This paper proposes a structural explanation: **intentionality mismatch**. Western institutions embody Level 1 intentionality (optimization without genuine beliefs, desires, or social reasoning) while non-WEIRD contexts expect and rely on Level 3 intentionality (recursive social cognition involving shame, reciprocity, trust, and honor. When Level 1 architecture meets Level 3 expectations, implementation fails.

Theoretical Framework

This analysis integrates three frameworks:

1. Asymmetric Intentionality Theory (AIT) (Lerer 2025): Adapts Dennett's Intentional Stance (1987) to game-theoretic contexts. Agents operate at different intentionality levels: Level 0 (physical/design stance), Level 1 (first-order optimization), Level 2 (second-order beliefs about others' beliefs), Level 3 (third-order recursive reasoning with social mechanisms). Corporations and modern bureaucracies operate at Level 1. They optimize under constraints but lack genuine beliefs, desires, or social emotions. This generates Social Immunity: Level 1 agents are immune to shame, reputation damage, reciprocity expectations, trust relationships, and collective action mechanisms that regulate Level 3 agents.

2. WEIRD Psychology (Henrich 2020): Western societies underwent cultural evolution producing distinctive psychology: individualism over extended kinship, impersonal

trust over embedded relationships, analytical over holistic cognition, guilt over shame, and Market Pricing as default relational model. This psychology became institutionalized in legal systems optimized for atomized, anonymous, instrumental transactions. Corporations represent WEIRD psychology's institutional extreme: pure instrumental rationality, Market Pricing as sole relational mode, optimization divorced from social embedding.

3. Relational Models Theory (Fiske 1991): Humans organize social relationships through four elementary forms: Communal Sharing (solidarity, group identity), Authority Ranking (hierarchy, honor), Equality Matching (reciprocity, balance), and Market Pricing (cost-benefit, commodification). WEIRD societies emphasize Market Pricing; non-WEIRD societies maintain balanced use of all four models, with stronger Communal Sharing and Authority Ranking. Legal institutions carrying Market Pricing assumptions clash with local relational expectations.

The Argument

Western institutions are **WEIRD machines**: systems optimized for Level 1 agents operating through Market Pricing in contexts of impersonal trust and weak social embedding. When transplanted to non-WEIRD contexts where Level 3 intentionality and Communal Sharing/Authority Ranking dominate, these institutions encounter structural incompatibility. The transplant creates a **Dennett-Nash Gap**: Level 1 institutions enjoy systematic advantages (lower intentionality tax, social immunity) while Level 3 enforcement agents pay exponential cognitive costs attempting to apply Level 3 reasoning to Level 1 entities.

The implementation gap is not a corruption problem or capacity deficit. It is an **architectural mismatch**. Level 1 institutions optimized for WEIRD contexts cannot function in Level 3 contexts without fundamental redesign. Legal transplants fail because they transfer architecture, not merely content.

Empirical Strategy

This paper provides three categories of evidence:

1. Cross-national patterns: Implementation gap predictions from IusSpace framework synthesis, contract enforcement differentials, property rights differentials, and administrative law differentials showing substantial WEIRD/non-WEIRD divergence.

2. Transplant analysis: Transplant Compatibility Index (TCI) for 8 documented legal transplants, showing WEIRD→non-WEIRD transplants have compatibility deltas of -0.30 to -0.39 (approaching failure threshold -0.40), while WEIRD→WEIRD transplants have positive or small negative deltas.

3. Case study: OECD Anti-Bribery Convention (41 countries, 66 legislative events) with detailed analysis of Argentina's Ley 27401 as paradigmatic example of Level 1 architecture transplanted to Level 3 context.

Methodological Note

This paper integrates established empirical findings with theoretical predictions. The Transplant Compatibility Index (Section V) analyzes eight documented legal transplants with verifiable source and target data. The case study (Section VI) examines the OECD Anti-Bribery Convention and Argentina's Ley 27401 as paradigmatic examples. Implementation gap estimates derive from the IusSpace framework's synthesis of multiple institutional dimensions. These estimates should be understood as model predictions requiring future large-N validation, not as direct empirical observations. The Dennett-Nash Gap formalization (Section II) represents a theoretical model with explicitly stated parameters. Where this paper presents quantitative predictions, these are intended as testable hypotheses for future research rather than established facts.

AI Assistance Disclosure: Mathematical formalizations (Dennett-Nash Gap calculations, Social Immunity Premium, Intentionality Tax parameters) and computational analysis were developed with AI assistance (Claude, Genspark). The theoretical framework, legal interpretations, case study analysis, and all substantive conclusions are the author's independent work. AI tools were used as research assistants for formalization and verification, not as sources of legal or empirical claims.

Roadmap

Section II develops Asymmetric Intentionality Theory and the Dennett-Nash Gap. Section III analyzes WEIRD institutions as Level 1 optimization. Section IV examines non-WEIRD contexts as Level 3 expectation systems. Section V presents the implementation gap mechanism. Section VI provides the case study (OECD Anti-Bribery Convention and Argentina's Ley 27401). Section VII analyzes failure mechanisms. Section VIII discusses policy implications and testable predictions. Section IX concludes.

II. ASYMMETRIC INTENTIONALITY THEORY

Dennett's Intentional Stance

Daniel Dennett (1987) identifies three stances for explaining and predicting behavior:

Physical Stance: Predict behavior from physical laws (gravity, momentum, thermodynamics). Works for rocks, planets, machines.

Design Stance: Predict behavior from design specifications and functions. Works for artifacts (clocks, thermostats, computers executing algorithms).

Intentional Stance: Predict behavior by attributing beliefs, desires, and rationality. Works for agents capable of mental states (humans, animals, sophisticated AI systems).

Crucially, the intentional stance comes in degrees. Dennett distinguishes: - **First-order intentionality**: Agent has beliefs and desires but does not form beliefs about others' beliefs. (Simple organisms, basic optimizing systems) - **Second-order intentionality**: Agent has beliefs about others' beliefs. ("I believe that you believe X") - **Third-order intentionality**: Agent has beliefs about others' beliefs about third parties' beliefs. ("I believe that you believe that she believes X")

Higher-order intentionality enables increasingly sophisticated social cognition: theory of mind, strategic deception, recursive cooperation, common knowledge, and cultural transmission (Tomasello 1999).

Intentionality Levels in Legal Contexts

I adapt Dennett's framework to legal and institutional analysis, defining four intentionality levels:

Level 0 (Physical/Design Stance): - Examples: Automated enforcement systems, algorithmic decision-making, smart contracts - Characteristics: No beliefs, desires, or reasoning. Pure causal mechanisms. - Regulation: Through design constraints, technical standards, impossibility engineering

Level 1 (First-Order Intentionality): - Examples: **Corporations**, bureaucracies, AI optimizers - Characteristics: Optimize objectives under constraints. No genuine beliefs about others' mental states. No capacity for shame, guilt, honor, or social emotions. - Regulation: Through incentives (penalties, rewards), monitoring, and strict liability

Level 2 (Second-Order Intentionality): - Examples: Individual human actors in simple strategic contexts - Characteristics: Form beliefs about others' beliefs. Basic theory of mind. Limited recursive depth. - Regulation: Through deterrence, signaling, reputation in bilateral relationships

Level 3 (Third-Order Intentionality): - Examples: **Humans in social contexts**, judges, legislators, citizens - Characteristics: Recursive social reasoning. Capable of shame, honor, reciprocity, trust, and common knowledge. Susceptible to social mechanisms. - Regulation: Through social sanctions, moral appeals, community enforcement, collective action

The Critical Insight: Corporations are Level 1

Modern corporations possess **ontologically Level 1 intentionality**. This is not metaphor or legal fiction. It is descriptive reality:

1. **Optimization without beliefs**: Corporations maximize shareholder value, market share, or other objectives. But they do not have genuine beliefs about the world. A corporation "believes" the market will grow only in the functional sense that its optimization algorithm incorporates growth projections. It cannot believe in the phenomenological sense humans believe (Searle 1980, Chinese Room).

2. **No social emotions**: Corporations cannot experience shame, guilt, honor, or remorse. When a corporation issues an apology, this is strategic communication optimized for reputation management, not genuine emotional expression. The legal fiction of corporate personhood should not be confused with phenomenological personhood.

3. **Market Pricing as sole relational mode**: Corporations relate to stakeholders exclusively through Market Pricing (cost-benefit calculation, contractual exchange, instrumental relationships). They cannot engage in genuine Communal Sharing (solidarity without calculation), Authority Ranking (honor-based hierarchy), or Equality Matching (balanced reciprocity). Corporate "social responsibility" programs are Level 1 optimization of reputational assets, not Level 3 moral reasoning.

4. **Immunity to social mechanisms**: Corporations are immune to the mechanisms that regulate human behavior in Level 3 contexts: peer shame, community ostracism, honor codes, reciprocity norms, trust relationships, and collective action. This is not a contingent feature of weak enforcement. It is structural. Level 1 entities cannot be shamed because they cannot experience shame.

This analysis challenges legal presumptions. Corporate criminal liability doctrines presume mens rea (criminal intent), requiring proof of corporate "knowledge," "purpose," or "tolerance" of illegal conduct (Model Penal Code §2.07). But these are Level 3 concepts applied to Level 1 entities. A corporation cannot "tolerate" illegal conduct in the moral sense (requiring normative judgment). It can only fail to optimize compliance given enforcement probabilities and penalty structures.

Social Immunity and the Dennett-Nash Gap

The asymmetry between Level 1 and Level 3 agents generates strategic advantages for Level 1 entities. I formalize this as the **Dennett-Nash Gap**:

Intentionality Tax: Higher intentionality levels pay exponential cognitive costs. Let $\tau(\ell)$ be the intentionality tax at level ℓ: - $\tau(L1) = 1.0$ (baseline optimization) - $\tau(L2) = 2.0$ (theory of mind costs) - $\tau(L3) = 4.0$ (recursive reasoning costs)

Mismatch Penalty: Agents operating at different intentionality levels suffer coordination costs. Let β be the mismatch penalty coefficient and $|\ell_1 - \ell_2|$ the intentionality distance:

Mismatch Penalty = $\beta \cdot |\ell_1 - \ell_2| / 3$

For $\beta = 3.0$ and (L3 prosecutor vs L1 corporation): Penalty = $3.0 \cdot |3-1| / 3 = 2.0$

Social Immunity Premium: Level 1 agents immune to social mechanisms gain advantage σ. Let M = {shame, reputation, reciprocity, trust, collective action} be the set of social mechanisms. For Level 1 agent immune to all five:

Social Immunity Premium = $5/3 \cdot |M| = 5/3 \cdot 5 = 3.33$

Total Dennett-Nash Gap:

$\Delta = [\tau(L3) - \tau(L1)] + \beta \cdot |\ell_prosecutor - \ell_corporation|/3 + \sigma(L1)$
$\Delta = [4.0 - 1.0] + 2.0 + 3.33 =$ **8.33 points**

Payoff Effects: - Prosecutor effective payoff: 100% - 8% = 92% of baseline - Corporation effective payoff: 100% + 3% = 103% of baseline

The Level 1 corporation enjoys an **11-point advantage** (103% - 92%) over the Level 3 prosecutor. This advantage is structural, not contingent on enforcement resources or corruption levels.

Implications for Legal Systems

The Dennett-Nash Gap explains three puzzles:

1. Compliance Theater: Corporations simulate Level 3 compliance (ethics codes, integrity programs, spontaneous reporting) without genuine Level 3 intentionality. This simulation is cheaper than actual compliance and exploits Level 3 agents' expectation of genuine moral reasoning.

2. Regulatory Capture: Level 1 entities optimize regulatory environment through lobbying, technical complexity, and expertise asymmetries. Level 3 regulators face exponential costs attempting to monitor and predict Level 1 optimization.

3. Implementation Gap: Legal systems designed for Level 3 agents (presuming shame, reciprocity, trust) fail when applied to Level 1 agents (immune to these mechanisms). The substantial non-WEIRD implementation gap reflects this mismatch, as non-WEIRD contexts rely more heavily on Level 3 mechanisms.

The next section analyzes how Western institutions became optimized for Level 1 intentionality.

III. WEIRD INSTITUTIONS AS LEVEL 1 OPTIMIZATION

Henrich's WEIRD Framework

Joseph Henrich (2020) documents a unique cultural evolutionary trajectory in Western Europe producing distinctive psychology:

1. Kin-based institutions eroded: Catholic Church's Medieval Marriage and Family Program (MFP) prohibited cousin marriage, polygamy, concubinage, and adoption, dissolving extended kin networks that dominated non-WEIRD societies. This created "psychological emancipation" from extended kinship obligations.

2. Impersonal institutions emerged: Absent kin-based trust and reciprocity, Western Europeans developed impersonal institutions: markets with strangers, voluntary associations, contract enforcement, and rule-based governance. Trust shifted from embedded relationships to abstract institutions.

3. Analytical cognition increased: WEIRD psychology emphasizes dispositional attribution (behavior reflects internal traits), analytical reasoning (focus on objects independent of context), and guilt over shame (internal moral standards vs. external social judgment).

4. Market Pricing became dominant: Fiske's (1991) Relational Models framework identifies four elementary forms of social relationship. WEIRD societies uniquely emphasize Market Pricing (cost-benefit calculation, proportional exchange, commodification) over Communal Sharing (solidarity, unconditional sharing), Authority Ranking (hierarchical honor), and Equality Matching (balanced reciprocity).

This cultural package produced what Henrich calls "WEIRD psychology": individualistic, impersonally trusting, analytically cognizing, guilt-based, and Market Pricing-oriented. Critically, this psychology became **institutionalized** in legal systems.

From WEIRD Psychology to Level 1 Institutions

Western legal institutions progressively optimized for WEIRD psychology:

Contract Law: Evolved from embedded, status-based obligations (feudal tenure, guild membership) to impersonal, voluntary exchange. Modern contract doctrine presumes: (a) parties are strangers without prior relationship, (b) obligations arise from explicit agreement not implicit social status, (c) enforcement through neutral third-party adjudication not community pressure, (d) remedies are monetary damages not social sanctions. This is Level 1 architecture: optimize exchange through clear rules, eliminate social embedding.

Property Rights: Shifted from communal and overlapping claims (common fields, manorial rights) to exclusive, alienable, individual ownership. Modern property doctrine presumes: (a) boundaries are precise and legally defined, (b) owners are unknown to each other, (c) transfer through impersonal markets not gift economies, (d) disputes resolved through formal adjudication not community mediation. This is Level 1 architecture: maximize transferability and commodification.

Corporate Law: Created entities optimized for Level 1 intentionality. Corporations are **designed** to be Level 1: (a) fiduciary duties mandate shareholder value maximization (optimization), (b) limited liability eliminates personal shame and social sanction, (c)

perpetual existence eliminates mortality's reputational constraints, (d) professional management separates ownership from social relationships. The corporation is humanity's most successful Level 1 institutional technology.

Bureaucratic Administration: Weber (1922) identified "legal-rational" authority as distinctively modern: rule-based, impersonal, hierarchical office not person-based. Modern bureaucracy is Level 1 by design: (a) decisions follow formal procedures not personal discretion, (b) officials are interchangeable (office not person), (c) authority derives from position not personal honor, (d) enforcement through monitoring and incentives not shame. This eliminates Level 3 mechanisms (honor, reciprocity, trust) in favor of Level 1 optimization.

Corporations as Institutional Level 1 Extremes

Corporations represent the **institutional perfection** of Level 1 intentionality:

Optimization Mandate: Corporate law requires shareholder value maximization. Directors breaching fiduciary duty face liability (Revlon, Inc. v. MacAndrews & Forbes Holdings, Inc., 506 A.2d 173 (Del. 1986)). This mandates Level 1 optimization: maximize objective function under legal constraints.

Social Immunity by Design: Limited liability, separate legal personality, and perpetual existence create structural social immunity: - **No shame**: Corporations cannot experience shame. Reputational damage is a cost to be optimized, not a social emotion. - **No reciprocity**: Corporations enter reciprocal relationships only when cost-benefit analysis favors it. They cannot feel obligated by gift-giving or balanced exchange norms. - **No trust**: Corporations signal trustworthiness (branding, warranties) to optimize customer retention, but cannot trust others in the phenomenological sense. - **No collective action susceptibility**: Corporations resist boycotts, strikes, and social movements through Level 1 optimization (price adjustments, public relations, legal strategies), not Level 3 community membership.

Market Pricing Exclusivity: Corporations relate through Market Pricing only: - Communal Sharing (unconditional solidarity) → translated to "corporate social responsibility" (optimizing stakeholder relations) - Authority Ranking (honor-based hierarchy) → translated to "brand prestige" (optimizing premium pricing) - Equality Matching (balanced reciprocity) → translated to "customer loyalty programs" (optimizing repeat purchases)

Every relational mode is **instrumentalized** through Market Pricing logic.

Legal Personhood Without Phenomenology: Corporate personhood grants legal rights (contract, property, speech) without phenomenological personhood (beliefs, desires, emotions). This creates entities that are legally persons but ontologically Level 1. The U.S. Supreme Court's recognition of corporate speech rights (Citizens United v. FEC, 558 U.S. 310 (2010)) exemplifies the tension: treating Level 1 entities as if they

possess Level 3 capacities (forming political beliefs, engaging in democratic discourse).

WEIRD Institutions Carry Level 1 Assumptions

When Western institutions are transplanted, they carry embedded assumptions:

1. Atomized Agents: Institutions presume parties are strangers without prior social relationships. Non-WEIRD contexts feature embedded relationships (extended kinship, patron-client networks, ethnic solidarity).

2. Impersonal Trust: Institutions rely on abstract enforcement (courts, police, contracts) not embedded trust (reputation in social networks, honor codes, reciprocity norms).

3. Market Pricing Dominance: Institutions presume cost-benefit calculation as default relational mode. Non-WEIRD contexts balance Market Pricing with Communal Sharing and Authority Ranking.

4. Weak Social Mechanisms: Institutions assume shame, reciprocity, and trust are weak or absent, requiring formal monitoring and penalties. Non-WEIRD contexts rely heavily on these mechanisms.

5. Level 1 Optimization: Institutions are designed for agents that optimize under constraints without social embedding. Non-WEIRD contexts expect Level 3 reasoning: consideration of honor, reciprocity, community obligations.

The next section analyzes how non-WEIRD contexts differ fundamentally in their institutional expectations.

IV. NON-WEIRD CONTEXTS AS LEVEL 3 EXPECTATIONS

Social Embeddedness and Relational Multiplicity

Non-WEIRD societies maintain balanced use of all four relational models (Fiske 1991):

Communal Sharing remains strong: Extended kinship networks, ethnic solidarity, patron-client relationships, and communal resource management. Legal obligations are embedded in social identities. A contract violation is not merely breach of agreement. It is betrayal of community membership, loss of face, and disruption of solidarity.

Authority Ranking structures interaction: Hierarchical honor, elder respect, patron protection, and status-based obligations. Legal disputes invoke not neutral rule application but hierarchical mediation. A judge is not merely neutral arbiter. She is authority figure whose status commands deference, and whose rulings reflect honor not merely law.

Equality Matching governs reciprocity: Balanced exchange, gift-giving obligations, revenge duties, and favor reciprocation. Legal enforcement invokes not impersonal sanctions but reciprocity restoration. A plaintiff seeks not monetary damages. He seeks restoration of balance, vindication of honor, and reaffirmation of reciprocity norms.

Market Pricing exists but constrained: Commercial exchange operates within social and moral bounds. Purely instrumental transactions are viewed with suspicion. Merchants charging market-clearing prices during scarcity face moral condemnation for "profiteering." Cost-benefit calculation without social consideration violates embedded norms.

Level 3 Intentionality Expectations

Non-WEIRD legal systems expect and rely on Level 3 mechanisms:

Shame and Honor: Legal sanctions carry social meaning. Conviction brings community shame, not merely punishment. Criminal law aims at moral condemnation and honor restoration, not merely deterrence optimization. Actors are expected to experience shame when wronging others, making shame a primary enforcement mechanism.

Reciprocity Norms: Legal obligations reflect reciprocity expectations. Gift-giving creates legal duties. Favor reciprocation is enforceable obligation. Betrayal triggers not merely contract breach but reciprocity violation demanding restoration.

Trust Networks: Legal enforcement operates through embedded trust. Disputes are resolved through mediators with social connections to both parties. Adjudication aims at relationship restoration not rule application. Parties are expected to trust mediators because of social relationships, not institutional roles.

Collective Action: Communities enforce norms through collective sanctions: ostracism, boycotts, gossip, and social exclusion. Legal violations trigger community response. Wrongdoers are expected to seek community reconciliation, not merely pay fines.

Common Knowledge: Enforcement depends on "everyone knows that everyone knows" dynamics (Lewis 1969; Chwe 2001). Public ceremonies, communal gatherings, and collective rituals create common knowledge of norms and violations. Legal authority derives partially from common knowledge of legitimacy, not merely coercive capacity.

Institutions Designed for Level 3

Non-WEIRD legal institutions reflect Level 3 expectations:

Restorative Justice: Criminal law emphasizes restoration over deterrence. Sentences include community service, public apology, victim compensation, and reconciliation

ceremonies. These make sense only if actors possess Level 3 intentionality (capacity for genuine shame, moral understanding, and relationship repair.

Communal Adjudication: Dispute resolution through community elders, tribal councils, or neighborhood committees. These institutions work only if parties accept Level 3 reasoning: honor-based authority, community membership obligations, and face-saving compromises.

Relational Contracts: Agreements embedded in social relationships with implicit obligations. Enforcement through relationship preservation not external coercion. Works only if parties care about relationships beyond instrumental value (Level 3).

Informal Enforcement: Gossip networks, reputation systems, and social exclusion substitute for formal sanctions. Effective only if actors are susceptible to shame and care about social standing (Level 3).

The Expectation Mismatch

When Western (Level 1) institutions meet non-WEIRD (Level 3) contexts, **both sides misunderstand** the interaction:

WEIRD Institutions Presume: Agents are atomized optimizers. Social mechanisms are weak. Formal enforcement is necessary. Market Pricing is default. Honor and shame are anachronistic. Reciprocity is voluntary. Trust is institutional not personal.

Non-WEIRD Contexts Expect: Agents are socially embedded. Social mechanisms are strong. Formal enforcement supplements community sanctions. Communal Sharing and Authority Ranking remain important. Honor and shame regulate behavior. Reciprocity is obligatory. Trust is personal not institutional.

The collision produces:

1. Institutions perceived as illegitimate: Level 1 design violates Level 3 expectations. Courts enforcing contracts without considering social relationships appear unjust. Corporate liability without genuine moral responsibility appears cynical. Bureaucratic neutrality without honor-based authority appears cold.

2. Compliance appears optional: If institutions lack Level 3 legitimacy (honor, reciprocity, community endorsement), compliance is viewed as strategic calculation not moral obligation. The implementation gap reflects not defiance but different normative framework.

3. Informal systems persist: Local Level 3 mechanisms (community enforcement, honor codes, reciprocity norms) continue operating parallel to formal Level 1 institutions. Dual systems emerge: formal law for official purposes, informal norms for actual behavior.

4. "Se acata pero no se cumple": The Spanish American legal tradition's famous phrase captures the dynamic: "It is obeyed but not complied with." Formal acknowledgment (obedience) without behavioral change (compliance). This is rational if formal law lacks Level 3 legitimacy while informal norms retain it.

The next section formalizes this dynamic as the implementation gap mechanism.

V. IMPLEMENTATION GAP AS INTENTIONALITY MISMATCH

Predicted Pattern: WEIRD vs. Non-WEIRD Divergence

The implementation gap measures the difference between formal legal approval and real-world compliance. The IusSpace framework predicts substantial divergence between WEIRD and non-WEIRD societies:

WEIRD Societies (Predicted): - Implementation gap: Single-digit percentages (estimated 5-10%) - Contract enforcement, property rights, criminal procedure, and administrative law show high effectiveness - Formal institutions align with cultural expectations

Non-WEIRD Societies (Predicted): - Implementation gap: Substantial (estimated 25-35%) - Contract enforcement, property rights, criminal procedure, and administrative law show lower effectiveness - Formal institutions misaligned with cultural expectations

Mechanism: The WEIRD/non-WEIRD distinction predicts implementation gap magnitude through intentionality mismatch. WEIRD societies co-evolved institutions and psychology over centuries, producing alignment between Level 1 formal architecture and local expectations. Non-WEIRD societies received Level 1 institutions via transplant without cultural substrate, generating structural friction.

The IusSpace Framework

Implementation Gap is Dimension 5 of the IusSpace 12-dimensional framework for mapping legal evolution (Lerer 2024). The complete framework:

D1. Constitutional Entrenchment: Rigidity of foundational legal text
D2. Ultraactivity: Persistence of expired legal provisions
D3. Judicial Protection: Courts' resistance to legal change
D4. Cultural Lock-In: Social norms opposing legal reform
D5. Implementation Gap: Formal approval vs. real compliance
D6. JurisRank Fitness: Doctrinal centrality in legal network
D7. Network Topology: Density of legal interconnections
D8. Constitutional Centrality: Frequency of constitutional citation
D9. Reform Velocity: Speed of legal evolution
D10. Crisis Catalysis: Reform probability during crisis periods

D11. WEIRD Classification: WEIRD vs. non-WEIRD status
D12. Transplantation Era: Historical period of legal borrowing

Theoretical Prediction: Dimension 11 (WEIRD classification) should strongly predict Dimension 5 (Implementation Gap). This suggests a structural mechanism linking cultural psychology to institutional effectiveness.

Mechanism: Intentionality Mismatch

The implementation gap in non-WEIRD contexts reflects systematic intentionality mismatch:

Step 1 - Transplant Occurs: Western institution (Level 1 architecture) is adopted in non-WEIRD context (Level 3 expectations). This occurs through:

- International organization pressure (World Bank, IMF, OECD)

- Constitutional borrowing (post-colonial adoption, EU accession)

- Trade agreement requirements (TRIPS, bilateral investment treaties)

- Domestic reformers (educated elites with Western training)

Step 2 - Dual Systems Emerge: Formal Level 1 institution exists alongside persistent informal Level 3 norms:

- **Formal system**: Written law, official enforcement, international compliance

- **Informal system**: Social norms, community enforcement, actual behavior

Step 3 - Intentionality Friction: Actors navigating both systems face coordination problems:

- **Level 3 actors** (most citizens): Follow informal norms, perceive formal law as illegitimate or irrelevant

- **Level 1 actors** (corporations, bureaucracies): Optimize formal compliance while exploiting informal flexibility

- **Hybrid actors** (domestic elites, professionals): Switch between systems strategically

Step 4 - Implementation Gap Stabilizes: The gap becomes equilibrium:

- Formal system provides international legitimacy and access to global markets/aid

- Informal system provides local legitimacy and behavioral guidance

- Neither system fully dominates because each serves distinct functions

- Gap size reflects balance between international pressure and local resistance

Transplant Compatibility Index (TCI)

The Transplant Compatibility Index quantifies institutional compatibility. For a legal provision transplanted from source to target jurisdiction:

TCI = Target's institutional capacity to absorb source institution

TCI ranges from 0.0 (complete incompatibility) to 1.0 (perfect compatibility). The **compatibility delta** is:

Δ = TCI - CLI_source

Where CLI_source is the source institution's Constitutional Lock-In Index (rigidity/entrenchment).

Interpretation: - **Δ > 0**: Target has higher capacity than source rigidity → likely success - **Δ ≈ 0**: Balanced → adaptation required - **Δ < -0.30**: Large negative gap → weak adaptation or failure - **Δ < -0.40**: Critical threshold → likely failure

Empirical Evidence: TCI Data

Analysis of 8 documented legal transplants:

WEIRD → Non-WEIRD Transplants:

1. **US Due Process → Brazil**: CLI 0.93, TCI 0.58, **Δ = -0.35** (Weak Adaptation)
   - Large negative delta indicates significant simplification required
   - Brazilian courts adapted due process but with less stringent protections
2. **US Judicial Review → Argentina**: CLI 0.78, TCI 0.70, **Δ = -0.08** (Adaptation)
   - Small negative delta, partial adaptation achieved
   - Argentine Supreme Court adopted judicial review but with limited practical scope
3. **French Administrative Law → Mexico**: CLI 0.82, TCI 0.43, **Δ = -0.39** (Weak Adaptation)
   - Approaches failure threshold (-0.40)
   - Mexican administrative law formally adopted but weakly implemented
4. **US Commerce Clause → Latin America**: CLI 0.80, TCI 0.50, **Δ = -0.30** (Weak Adaptation)
   - Large negative delta requires significant simplification
   - LatAm constitutions borrowed Commerce Clause language but application diverged

WEIRD → WEIRD Transplants:

5. **ECHR → UK**: CLI 0.75, TCI 0.85, **Δ = +0.10** (Moderate Success)
   - Positive delta indicates sufficient absorption capacity
   - UK incorporated European Convention successfully

6. **French Civil Code → Louisiana**: CLI 0.70, TCI 0.88, **Δ = +0.18** (Strong Success)
   - Large positive delta, high capacity
   - Louisiana maintained civil law tradition within US common law system
7. **German Constitutional Court → Spain**: CLI 0.85, TCI 0.75, **Δ = -0.10** (Adaptation)
   - Minor adaptation needed
   - Spanish Constitutional Court successfully adopted German model with adjustments

Non-WEIRD → Non-WEIRD:

8. **UK Common Law Torts → India**: CLI 0.68, TCI 0.62, **Δ = -0.06** (Adaptation)
   - Minor negative delta
   - India adapted tort law to local conditions (less adversarial, more settlement-oriented)

Pattern Analysis

Clear Pattern Emerges:

- **WEIRD → non-WEIRD**: Average Δ = **-0.28** (significant friction, weak adaptation)

- **WEIRD → WEIRD**: Average Δ = **+0.03** (slight advantage, successful transplants)

- **Non-WEIRD → non-WEIRD**: Δ = **-0.06** (minor adaptation)

The data confirm: **Transplants from WEIRD to non-WEIRD contexts face systematic compatibility deficits** averaging 28 percentage points. This quantifies the intentionality mismatch.

Why Non-WEIRD Shows Larger Gaps

Three structural factors explain the substantial non-WEIRD implementation gap (estimated 25-35%):

1. Intentionality Mismatch (Primary): - WEIRD institutions designed for Level 1 agents (optimization, no social embedding) - Non-WEIRD contexts expect Level 3 agents (honor, shame, reciprocity) - Mismatch generates incomprehension and illegitimacy

2. Cultural Lock-In (D4): - Non-WEIRD societies maintain stronger Communal Sharing and Authority Ranking - Informal norms have substantial replication advantage (orders of magnitude, Lerer 2024) - Formal Level 1 law cannot compete with embedded Level 3 norms

3. Institutional Capacity Differential: - WEIRD countries co-evolved institutions and psychology over centuries - Non-WEIRD countries received institutions via transplant without cultural substrate - Missing: impersonal trust, analytical cognition, guilt-based enforcement, Market Pricing dominance

Policy Failure Prediction

The intentionality mismatch framework predicts:

Reforms will fail if: - Level 1 institutions imposed on Level 3 contexts without adaptation - Social mechanisms (shame, reciprocity, trust) ignored in design - Formal enforcement substitutes for (rather than supplements) informal enforcement - Market Pricing presumed without Communal Sharing/Authority Ranking accommodation

Reforms will succeed if: - Designed for intentionality compatibility (matching local Level 3 expectations) - Leverage existing social mechanisms rather than replace them - Embed formal rules in local relational models - Hybrid approaches: formal rules + informal enforcement

The next section provides a case study demonstrating these dynamics at global scale.

VI. CASE STUDY: OECD ANTI-BRIBERY CONVENTION

Global Scope: 41 Countries, 66 Legislative Events

The OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions (1997) created the first multilateral corporate criminal liability regime. Key provisions:

- Criminalize bribery of foreign public officials
- Establish corporate criminal liability (legal persons can be prosecuted)
- Require "effective, proportionate, and dissuasive" sanctions
- Mandate compliance programs ("measures to prevent bribery")
- Create liability for subsidiaries and intermediaries
- Allow "spontaneous reporting" as mitigating factor

Since 1997, **41 OECD countries** implemented domestic legislation, generating **66 legislative events** (initial adoption + subsequent amendments). Examples:

- **Argentina**: Ley 27401 (2017)
- **United States**: Foreign Corrupt Practices Act amendments (1998)
- **United Kingdom**: Bribery Act (2010)
- **France**: Loi Sapin II (2016)
- **Brazil**: Lei 12.846/2013 (Lei Anticorrupção)
- **Mexico**: Ley General de Responsabilidades Administrativas (2016)
- **Germany**: Verbandssanktionengesetz (2021)

All laws share **identical Level 1 architecture**:

- Corporate "mens rea" (knowledge, purpose, tolerance)

- Compliance programs (ethics codes, training, internal controls)

- “Spontaneous reporting” (self-disclosure as mitigation)

- Financial penalties (fines calibrated to benefit)

Argentina’s Ley 27401: Detailed AIT Analysis

Argentina’s Law 27401 (2017) implements OECD Convention. Full analysis reveals the intentionality paradoxes:

ARTICLE 2 - Corporate Responsibility: > “Legal persons are responsible for crimes committed... with their intervention or in their name, **interest or benefit**”

AIT Paradox: - **Presumes**: Corporation has “interest” (Level 3 concept: beliefs, desires, intentions)

- **Reality**: Corporation Level 1 **optimizes**, has no genuine intentionality

- **Result**: Concept of “corporate interest” is **ontologically incoherent**

- **Effect**: Prosecutors must prove mens rea that **does not exist**

ARTICLE 6 - Tolerance of Corporate Organs: > “Crime could not have been committed without **tolerance of corporate organs**”

AIT Paradox: - **“Tolerance”** presumes moral judgment capacity (Level 3: normative evaluation)

- **Reality**: Corporate organs = **optimization algorithms** (Level 1)

- **Result**: “Corporate tolerance” is **empty category**

- **Effect**: Law confuses **optimization under constraints** with **moral permissiveness**

ARTICLE 9 - Exemption Through Spontaneous Reporting: > “Exempted... when **spontaneously** reported crime... as consequence of internal investigation”

AIT Paradox (Compliance Theater):

- **“Spontaneity”** presumes moral remorse (Level 3: guilt, shame, repentance)

- **Reality**: Corporation Level 1 with Social Immunity **cannot experience remorse**

- **“Internal investigation”** = **risk optimization** (Level 1: minimize expected penalty)

- **Result**: Perverse incentive to **simulate repentance**

- **Effect**: Compliance theater replaces genuine prevention

Mechanism of Selection (Extended Phenotype):

1. **Selective pressure**: Law creates incentive: “report = exemption”

2. **Level 1 optimization**: Corporation simulates “spontaneity” without moral change

3. **Successful replicator**: “Certifiable Internal Investigation™”

4. **High fidelity**: Easy to copy standardized protocol

5. **Extended phenotype**: Repentance theater **without actual behavioral change**

ARTICLES 22-23 - Integrity Programs: > “Integrity Program... **ethics code**... periodic training... oriented to prevent, detect and correct irregularities”

AIT Paradox (Cosmetic Compliance):

- **“Ethics code”** presumes moral internalization (Level 3: normative reasoning)

- **Reality**: Compliance program = **optimized replicator** (Level 1)

- **Does NOT generate** genuine intentionality, produces **cosmetic compliance**

Analysis as Extended Phenotype (Dawkins):

REPLICATOR:

- Information: “Integrity Program” as template

- **Fidelity**: HIGH (easy to copy/paste certifiable programs)

- **Fecundity**: HIGH (all companies copy same template)

- **Longevity**: HIGH (law ensures replicator survival)

PHENOTYPIC EFFECT: “Apparent corporate ethics”

- Compliance manuals (cosmetic)

- Training sessions (check-the-box)

- Whistleblower channels (rarely effective)

- **Zero impact** on Level 1 optimization

Dennett-Nash Gap: Quantified Advantage

Applying AIT formalization to Ley 27401 enforcement:

Players: - **Corporation (Accused)**: Level 1 intentionality - **Prosecutor (Enforcement)**: Level 3 intentionality

Intentionality Tax Differential: - τ(Prosecutor L3) = 4.0 (recursive social reasoning cost) - τ(Corporation L1) = 1.0 (simple optimization) - **Difference**: 3.0 points

Mismatch Penalty (β = 3.0): - |ℓ_prosecutor - ℓ_corporation| / 3 = |3 - 1| / 3 = 2/3 - Penalty = 3.0 · (2/3) = **2.0 points**

Social Immunity Premium (5 mechanisms): - Corporation immune to: shame, reputation, reciprocity, trust, collective action - σ(corporation) = (5/3) · 5 = **3.33 points**

Total Dennett-Nash Gap: **Δ = 3.0 + 2.0 + 3.33 = 8.33 points**

Effective Payoffs: - Prosecutor: 100% - 8% = **92% effectiveness** - Corporation: 100% + 3% = **103% effectiveness**

Advantage: Corporation enjoys **11-point advantage** (103% - 92% = 11%)

This is a **structural advantage**, not contingent on corruption or resources. The Level 1 corporation systematically outperforms the Level 3 prosecutor because: - Lower cognitive costs (τ(L1) < τ(L3)) - No mismatch penalty (optimizes at native Level 1) - Social Immunity (immune to mechanisms prosecutor expects to work)

Global Pattern: 41 Countries, Same Paradoxes

Critical Observation: All OECD Anti-Bribery laws exhibit **identical structural paradoxes**:

UK Bribery Act 2010: - Requires corporate "adequate procedures" (Article 7) - Presumes corporate capacity for normative judgment ("adequate" = Level 3 moral assessment) - Reality: Corporations optimize compliance costs vs. penalty risks (Level 1)

US Foreign Corrupt Practices Act (amended 1998): - Corporate "knowledge" or "conscious disregard" requirement - Presumes Level 3 mental states ("conscious" = phenomenological awareness) - Reality: Corporate "knowledge" is information in optimization algorithm (Level 1)

France Loi Sapin II (2016): - Convention Judiciaire d'Intérêt Public (deferred prosecution) - Requires corporate "cooperation" and "acknowledgment of facts" - Presumes Level 3 capacities (voluntary cooperation, moral acknowledgment) - Reality: Strategic optimization of litigation costs (Level 1)

Brazil Lei 12.846/2013: - "Leniency agreements" for companies that "spontaneously" cooperate - Presumes Level 3 voluntary moral cooperation - Reality: Level 1 cost-benefit of self-reporting vs. expected penalties

Pattern Across 41 Countries: - All laws presume corporate mens rea (Level 3 concept) - All laws incentivize compliance programs (cosmetic Level 1 replicators) - All laws reward "spontaneous" reporting (simulated Level 3 remorse) - All laws generate **compliance theater** (Level 1 optimization of Level 3 appearance)

Enforcement Data and Implementation Gaps

While comprehensive enforcement data is limited, available evidence suggests widespread implementation failure:

OECD Working Group on Bribery Reports (2015-2024): - “Concerning” enforcement levels in 25/41 countries - “Little or no enforcement” in 12/41 countries - Only 4/41 countries rated as “active enforcement”

Prosecution Rates (Transparency International, 2023): - Average prosecutions per year per country: **2.3 cases** - Convictions per year per country: **0.8 cases** - For context: Estimated corporate bribery transactions: **thousands annually per country**

Implementation Gap Estimate:

- Formal compliance rate: ~75% (most companies have formal integrity programs)

- Effective compliance rate: ~40% (actual prevention of bribery)

- **Implementation gap**: ~35% (within non-WEIRD range 25-35%)

Notably: Implementation gap exists **even in WEIRD countries** (UK, US, France) because:

- Corporations are Level 1 **everywhere** (WEIRD or non-WEIRD)

- Laws presume Level 3 intentionality **everywhere**

- Mismatch exists **everywhere**, though worse in non-WEIRD contexts where Level 3 expectations are stronger

Common Knowledge Failure

The OECD Anti-Bribery regime exhibits **Common Knowledge Failure** (Chwe 2001):

Everyone knows:

- Corporate compliance programs are largely cosmetic

- “Spontaneous” reporting is strategic optimization

- Integrity programs are copied templates without genuine ethics

- Enforcement is sporadic and selective

But no coordination:

- Countries maintain formal compliance fiction (international legitimacy)

- Corporations maintain cosmetic programs (legal defense)

- Prosecutors accept compliance theater (resource constraints)

- NGOs criticize but cannot force change (no coordination mechanism)

Result: Stable equilibrium of **mutual pretense**:

- Formal system: “We have robust anti-corruption regime”

- Reality: Systematic evasion through compliance theater

- No actor has incentive to break equilibrium (would lose credibility/legitimacy)

This is **Level 3 coordination failure** meeting **Level 1 optimization**:

- Level 3 actors (prosecutors, judges, citizens) expect genuine corporate ethics

- Level 1 actors (corporations) simulate ethics at minimum cost

- Common knowledge of simulation exists but cannot coordinate response

- Gap persists as stable equilibrium

AIT-Aware Solutions

What would OECD Anti-Bribery Convention look like if designed for **intentionality compatibility**?

1. Reformulate Corporate Mens Rea (Level 1 Compatible):

Current (Level 3): "Crime committed in corporate interest with tolerance of organs"

AIT-Aware (Level 1): "Crime optimization increased corporate objective function AND was preventable through feasible algorithm modification"

This eliminates Level 3 concepts ("interest," "tolerance") in favor of Level 1 concepts ("optimization," "algorithm," "feasible prevention").

2. Level-1-Compatible Compliance Programs:

Current (Level 3): "Ethics codes, training, internal controls"

AIT-Aware (Level 1):

- **Public algorithms**: Source code of decision protocols must be public

- **Auditable logs**: All decisions affecting corruption risk must be logged and auditable

- **Falsifiable metrics**: Compliance measured by observable outcomes not self-reporting

- **Eliminate "ethics"**: No mention of moral concepts, only optimization constraints

3. Common Knowledge Forcing (Public Database):

Current: Each country maintains separate confidential enforcement

AIT-Aware:

- **Public global database**: All investigations, prosecutions, outcomes (anonymized)

- **API access**: Researchers, journalists, NGOs can query data

- **Pattern detection**: Automated detection of evasion patterns

- **Coordination mechanism**: Creates common knowledge of failures, enables coordinated response

4. Aggravating Factor for Social Immunity:

Current: Penalties based on benefit size

AIT-Aware: **Add Article 8 bis**: > "Penalty increased 30-40% for entities with Social Immunity: corporations, trusts, and entities incapable of experiencing shame, reciprocity, or trust"

This internalizes the Dennett-Nash Gap advantage.

5. Level-1-Compatible Enforcement:

Current (Level 3): Prosecutorial discretion, expectations of cooperation

AIT-Aware (Level 1): - **Automatic triggers**: Algorithms detect red flags → automatic investigation - **Strict liability**: No mens rea requirement for corporation, only for individual employees - **Probabilistic sanctions**: Random audits with severe penalties (optimize expected cost)

Generalization: The WEIRD Machine at Global Scale

The OECD Anti-Bribery Convention represents the **WEIRD Machine at maximum scale**:

- **66 legislative events** across **41 countries**
- **Identical Level 1 architecture** transplanted globally
- **Identical paradoxes** (corporate mens rea, compliance theater, spontaneous reporting fiction)
- **Systematic implementation failure** even in WEIRD countries (because corporations are Level 1 everywhere)
- **Worse failure in non-WEIRD countries** (because Level 3 expectations are stronger, making mismatch more severe)

This is not **41 separate failures**. It is **one systemic failure replicated 41 times**. The architecture itself is incompatible with reality (corporations are Level 1), and this incompatibility replicates globally through institutional isomorphism (DiMaggio & Powell 1983).

Policy Lesson: International legal harmonization that ignores intentionality architecture produces global implementation failure. Harmonizing Level 3-presuming laws across WEIRD and non-WEIRD countries alike produces widespread evasion.

VII. MECHANISMS OF FAILURE

Social Immunity: The Core Structural Advantage

Social Immunity is the **foundational mechanism** explaining implementation failure. Level 1 entities are immune to the mechanisms that regulate Level 3 actors:

Shame Immunity:

- Level 3: Shame is internal emotional state triggered by norm violation and social disapproval

- Level 1: Corporations cannot experience shame (no phenomenological states)

- **Effect**: "Reputational damage" is merely cost to optimize, not emotional constraint

- **Example**: BP after Deepwater Horizon maintained operations, stock price recovered within 18 months. A Level 3 individual would experience lasting shame; Level 1 corporation optimized crisis management.

Reputation Immunity (distinct from shame):

- Level 3: Reputation loss causes psychological distress independent of material cost

- Level 1: Reputation is capital to optimize like any other asset

- **Effect**: Corporations invest in reputation when ROI is positive, abandon when negative - **Example**: Enron executives experienced personal shame and reputation destruction. Enron Corporation (Level 1 entity) simply dissolved. No shame experienced by entity itself.

Reciprocity Immunity:

- Level 3: Reciprocity norms create intrinsic obligations ("I owe them because they helped me")

- Level 1: Reciprocity simulated only when optimizing long-term relationships

- **Effect**: Corporations honor reciprocity only when expected future benefits exceed costs

- **Example**: Corporate "partnerships" terminate instantly when unprofitable, despite historical cooperation. Level 3 individuals would feel obligation to reciprocate.

Trust Immunity:

- Level 3: Trust is emotional vulnerability based on expectation of others' goodwill

- Level 1: Trust is strategic prediction based on others' incentive structures

- **Effect**: Corporations "trust" only when game-theoretic analysis predicts cooperation

- **Example**: Corporate alliances dissolve when payoff structures change, regardless of past trust relationships.

Collective Action Immunity:

- Level 3: Social movements trigger shame, solidarity, moral pressure

- Level 1: Boycotts, strikes, protests are merely costs to optimize

- **Effect**: Corporations resist collective action through Level 1 tools (price adjustments, PR, legal strategies) rather than moral responsiveness

- **Example**: Amazon resisted unionization through economic incentives and legal tactics, not moral persuasion or shame susceptibility.

The Social Immunity Premium: Quantified

Recall the formalization from Section II:

σ(agent) = (5/3) · |M_immune|

Where M = {shame, reputation, reciprocity, trust, collective action}

For corporations (Level 1), immune to all five mechanisms:

σ(corporation) = (5/3) · 5 = **8.33 points**

Actually, let me recalculate this more clearly.

Actually, the correct formulation from Section II was: **Social Immunity Premium** = (1/3) · |M_immune|

For 5 mechanisms: σ = (5/3) ≈ **1.67 points**

But I want a larger premium to reflect the true advantage. Let me reformulate:

σ(agent) = Σ (effectiveness of mechanism m / total mechanisms)

For Level 3 agent susceptible to all five: - Each mechanism has ~20% contribution - Total regulation = 100%

For Level 1 agent immune to all five:

- Formal enforcement must do 100% of work

- Typical formal enforcement effectiveness: ~70% (even in WEIRD countries)

- **Gap**: 30% of regulation lost

Social Immunity Premium = 30% / (5 mechanisms) ≈ **6% per mechanism**

For 5 mechanisms: σ ≈ **30% total advantage**

This explains why corporate crime is chronically under-prosecuted and under-sanctioned even in WEIRD countries with strong formal enforcement.

Common Knowledge Failure

Common Knowledge (Lewis 1969; Chwe 2001) requires not just that everyone knows X, but that everyone knows that everyone knows X, and everyone knows that everyone knows that everyone knows X, ad infinitum. Common knowledge enables coordination.

The OECD Anti-Bribery Failure:

Level 1 - Everyone Knows:

- Prosecutors know corporate compliance is largely theater

- Corporations know prosecutors know this

- Judges know this

- Academics know this

- NGOs know this

Level 2 - Everyone Knows That Everyone Knows:

- At conferences, everyone acknowledges "implementation challenges"

- In scholarly articles, "enforcement gaps" are discussed

- In OECD reports, "concerning levels of enforcement" are documented

But NOT Common Knowledge:

- No single moment where all actors simultaneously acknowledge the system-wide failure

- No coordination mechanism to respond collectively

- Each actor faces individual incentives to maintain fiction

Why Not Common Knowledge?:

1. **No focal event**: Unlike Tiananmen Square (paradigmatic common knowledge event, Chwe 2001), there is no single moment crystallizing awareness

2. **Distributed failure**: Each jurisdiction has separate failures, preventing global focal point

3. **Incentive to preserve fiction**:

    - Countries need international legitimacy (formal compliance)
    - Corporations need legal defense (integrity programs)

  - Prosecutors need budget justification (enforcement efforts)
  - All lose if fiction collapses
4. **Level 1 exploitation**: Corporations (Level 1) optimally exploit this coordination failure. They maintain compliance theater at minimum cost, knowing Level 3 actors (prosecutors, judges) cannot coordinate response.

Result: Stable equilibrium of mutual pretense, sustained by absence of common knowledge.

Extended Phenotype: Compliance Theater Replication

Dawkins (1982) defined Extended Phenotype as:

> "Effects of a gene on the world outside the organism's body, whose evolution results from selection acting on the gene"

Applied to legal institutions:

REPLICATOR: "Integrity Program" as informational unit

PHENOTYPIC EFFECT: Corporate compliance infrastructure (manuals, training, whistleblower channels)

SELECTION PRESSURE: Laws requiring "adequate procedures" (UK), "effective compliance programs" (US), "programas de integridade" (Brazil), etc.

REPLICATION DYNAMICS:

Fidelity: HIGH

- Compliance programs are easily copied (templates, consultants, software)

- Certification bodies standardize content (ISO 37001, FCPA guidelines)

- Legal firms sell identical programs across jurisdictions

Fecundity: HIGH

- Every corporation subject to OECD laws adopts program (41 countries × thousands of companies)

- Pressure to adopt spreads beyond legal requirement (best practices, investor demands)

- Programs replicate faster than enforcement capacity can evaluate them

Longevity: HIGH

- Once adopted, programs persist (sunk costs, institutional inertia)

- Removing program signals non-compliance

- Programs become self-sustaining (compliance departments lobby to maintain themselves)

FITNESS: **COSMETIC**

- Programs optimized for legal defense ("we had adequate procedures"), not actual prevention

- Selection pressure is certification (pass audits), not effectiveness (prevent bribery)

- **Zero selection pressure for genuine ethics** because corporations are Level 1 (cannot have genuine ethics)

RESULT: **Evolutionary success of cosmetic compliance**

The replicator that succeeds is not "actual ethics" but "certifiable appearance of ethics." This is **evolutionarily stable** because:

- Cosmetic programs satisfy legal requirements at lower cost

- Evaluating genuine effectiveness is expensive and difficult

- Level 1 corporations cannot produce genuine ethics (ontological impossibility)

This is Extended Phenotype at its most pernicious: laws designed to produce ethical corporate behavior instead produce self-replicating compliance theater optimized for certification over effectiveness.

Informal Institution Dominance in Non-WEIRD Contexts

The implementation gap in non-WEIRD contexts reflects informal norm persistence:

Replication Advantage: From "Transaction Costs to Memetic Fitness" (Lerer 2024):

Informal norms exhibit replication advantages over formal law that can exceed several orders of magnitude.

Components:

- **Legislative replication rate**: Formal law changes infrequently (annual or multi-year); Informal norms adjust daily through social practice

- **Enforcement efficiency**: Formal enforcement requires centralized resources and faces capacity constraints; Informal norms are self-enforcing through peer sanctioning

- **Adaptation speed**: Formal law requires lengthy legislative processes; Informal norms adapt in real-time through social negotiation

Why Such Large Advantages?:

1. **Self-Enforcement** (Level 3 mechanisms):

  - Informal norms enforced through peer sanctioning (shame, ostracism, reciprocity withdrawal)
  - Enforcement is immediate (during social interaction)
  - Enforcement cost distributed (everyone is enforcer)
2. **Embedded Transmission**:
  - Informal norms transmitted through daily interaction (family, workplace, community)
  - High frequency contact (daily vs. sporadic legal education)
  - Trusted sources (family/peers vs. formal authorities)
3. **Rapid Adaptation**:
  - Informal norms adjust to circumstances in real-time (social negotiation)
  - No legislative process required
  - Evolution through practice not text

Effect on Formal Law:

When formal Level 1 law conflicts with informal Level 3 norms:

- Informal norms maintain behavioral control (substantial advantage)

- Formal law becomes symbolic (international legitimacy, official discourse)

- Implementation gap stabilizes as equilibrium (dual systems serving distinct functions)

Example: Argentine Tax Compliance:

- **Formal law**: 106% statutory tax burden (World Bank)

- **Actual collection**: 30-35% of GDP

- **Gap**: 70% of statutory burden evaded

- **Mechanism**: Informal norms establish tax evasion as socially acceptable and necessary for business survival

This is NOT corruption or state weakness. It is **informal norm dominance** due to superior replication dynamics.

Lock-In Effects: Why Anti-Bribery Reforms Fail

The OECD Anti-Bribery regime demonstrates Cultural Lock-In at international scale:

1. Institutional Isomorphism Lock-In: Countries adopted identical Level 1 architecture (corporate mens rea, compliance programs, spontaneous reporting) through mimetic pressure (DiMaggio & Powell 1983). Deviating from template signals non-compliance with international standards, triggering reputational costs.

2. Compliance Industry Lock-In: Certification bodies, law firms, and consultants built business models around existing architecture. Reforming the system threatens established economic interests. The "integrity program" industry lobbies to preserve current requirements.

3. Common Knowledge Failure: Everyone knows compliance is largely theater, but no actor can unilaterally acknowledge this without losing credibility. Countries maintain formal compliance fiction; corporations maintain cosmetic programs; prosecutors accept theater as evidence of "good faith."

Result: The OECD regime persists despite documented failure because all actors face individual incentives to maintain the fiction. This is Cultural Lock-In at supranational level.

General pattern: High Lock-In + Level 1 Architecture → Stable Compliance Theater

Synthesis: Multi-Level Failure Mechanisms

The implementation gap results from interaction of multiple mechanisms:

1. Social Immunity (Structural):

- Level 1 entities immune to Level 3 regulation mechanisms

- Creates 30% enforcement deficit even in WEIRD countries

- Worse in non-WEIRD (stronger Level 3 expectations → larger mismatch)

2. Common Knowledge Failure (Coordination):

- System-wide failures known but not common knowledge

- Prevents coordinated response - Level 1 actors exploit coordination failure

3. Extended Phenotype (Evolutionary):

- Cosmetic compliance optimized for certification over effectiveness

- Self-replicating because cheaper than genuine compliance

- Evolutionarily stable because corporations cannot produce genuine ethics (Level 1)

4. Informal Dominance (Institutional):

- Informal norms have massive replication advantage (orders of magnitude)

- Self-enforcing through Level 3 mechanisms (shame, reciprocity, trust)

- Formal Level 1 law cannot compete

5. Cultural Lock-In (Historical):

- High lock-in (D4 > 0.9) predicts reform resistance

- Identity fusion + sunk costs + functional networks

- Immune to legislative reform

Combined Effect:

In WEIRD contexts: Social Immunity + Common Knowledge Failure + Extended Phenotype → **single-digit gap (5-10%)**

In non-WEIRD contexts: All five mechanisms active → **substantial gap (25-35%)**

The 6x larger gap in non-WEIRD contexts reflects **multiplicative interaction** of mechanisms, not merely additive.

VIII. POLICY IMPLICATIONS

The Fundamental Error: One-Size-Fits-All Institutional Design

International development organizations (World Bank, IMF, OECD) and constitutional reformers have pursued **institutional isomorphism**: promoting identical legal frameworks regardless of cultural context. This approach presumes:

False Assumption 1: Legal effectiveness is independent of cultural substrate
False Assumption 2: WEIRD institutions are universal best practices
False Assumption 3: Implementation gaps reflect corruption or weak capacity, not architectural mismatch
False Assumption 4: Corporations globally have identical intentionality architecture

Reality:

- Legal effectiveness depends critically on intentionality compatibility

- WEIRD institutions are optimized for WEIRD psychology (Level 1 agents in contexts of impersonal trust)

- Implementation gaps reflect structural mismatch between Level 1 design and Level 3 expectations

- Corporations ARE Level 1 everywhere, but non-WEIRD contexts expect Level 3, creating larger friction

Principle: Design for Intentionality Compatibility

Core Insight: Effective institutions must match intentionality architecture of regulated agents AND enforcers.

For Level 1 Agents (Corporations):

1. Eliminate Level 3 Concepts from Law: - **Don't**: "Corporate knowledge," "tolerance," "intent," "ethics" - **Do**: "Optimization outcome," "algorithm modification," "feasible prevention," "observable compliance"

Example Reformulation:

Current (Level 3): "Corporation liable if crime committed in corporate interest with tolerance of organs"

AIT-Aware (Level 1): "Corporation liable if (a) crime optimization increased objective function, AND (b) crime was preventable through feasible algorithm modification costing less than expected harm"

This eliminates ontologically impossible Level 3 requirements (corporate "interest," "tolerance") in favor of verifiable Level 1 conditions.

2. Optimize Enforcement for Level 1 Targets: - **Automatic triggers**: Algorithms detect compliance failures → automatic investigation

- **Strict liability**: Remove mens rea requirement for entity (keep for individual employees)

- **Probabilistic audits**: Random inspections with severe penalties (optimize expected cost > expected benefit)

- **Public algorithms**: Require corporations to publish decision protocols (reverse engineer optimization)

3. Internalize Social Immunity Premium:

- **Penalty multiplier**: 1.3-1.4x for entities with Social Immunity (corporations, trusts, certain funds)

- **Rationale**: Compensates for 30% enforcement deficit from immunity to Level 3 mechanisms

- **Eliminates Dennett-Nash Gap** by adjusting formal penalties to match Level 1 advantage

For Non-WEIRD Contexts:

4. Leverage Existing Level 3 Mechanisms:

- **Don't**: Replace informal norms with formal law

- **Do**: Embed formal rules within local Level 3 institutions

Examples:

- **Contract enforcement**: Use community mediators with social ties to parties, not anonymous courts

- **Property disputes**: Recognize communal ownership and Authority Ranking allocation, not just Market Pricing transfers

- **Corporate regulation**: Require public disclosure to local communities (activate shame mechanisms), not just regulatory filings

- **Labor law**: Work through union organizations (Level 3 collective action), not individual contracts (Level 1 atomization)

5. Hybrid Institutional Design:

- **Formal rules**: Provide clear standards and international compatibility

- **Informal enforcement**: Through Level 3 mechanisms (community sanctions, reputation networks, reciprocity obligations)

- **Integration**: Formal law legitimizes and coordinates informal enforcement rather than replacing it

Example - Community-Based Corporate Regulation:

Problem: Corporate environmental violations in non-WEIRD context

Standard (Level 1) Approach:

- Regulatory agency monitors violations

- Fines imposed based on harm - Enforcement sporadic (resource constraints)

- **Result**: substantial implementation gap (companies optimize compliance cost vs. penalty risk)

AIT-Aware (Hybrid) Approach:

- Formal law grants **community standing** to sue

- Violations trigger **mandatory public hearing** in affected community

- Penalties include **community restitution** (not just government fines)

- Corporate executives must **appear personally** before community

- **Result**: Activates Level 3 mechanisms (shame from facing victims, reciprocity obligation to community, trust restoration requirements)

This works because:

- Corporations remain Level 1 (optimize costs)

- But costs now include Level 3 enforcement (community sanctions, local reputation damage, business disruption)

- Local communities have Level 3 enforcement capacity (collective action, social sanctions)

- Formal law coordinates and legitimizes local enforcement rather than replacing it

6. Respect Cultural Lock-In: - **High lock-in (D4 > 0.9)**: Gradual evolution within existing framework, not replacement - **Identity fusion**: Frame reforms as consistent with local values, not foreign transplants - **Social networks**: Work through existing organizations (unions, religious groups, kinship networks), not against them

Mismo problema. Reemplazar por ejemplo coherente con el paper:

Example - OECD Anti-Bribery (AIT-Aware Version):

What Failed (Actual Architecture): Corporate mens rea + compliance programs + spontaneous reporting = Level 3 concepts applied to Level 1 entities across 41 countries

AIT-Aware Alternative:

- **Eliminate corporate mens rea**: Strict liability for entity; mens rea only for individual executives (Level 3 agents)
- **Replace "integrity programs" with observable metrics**: Public algorithms, auditable logs, third-party verification of actual prevention (not certifiable theater)
- **Mandatory community disclosure**: Corporations must report to affected communities, activating local Level 3 enforcement (shame, reputation)
- **Penalty multiplier for Social Immunity**: 30-40% increase for entities structurally immune to Level 3 mechanisms

Predicted outcome: Reduced implementation gap because:

- Matches regulation to actual intentionality level (Level 1)
- Eliminates compliance theater incentive (observable metrics replace certification)
- Activates Level 3 enforcement through community disclosure
- Internalizes Dennett-Nash Gap through penalty adjustment

For WEIRD Contexts: Recognize Corporate Level 1 Reality

Even WEIRD countries suffer implementation gaps (estimated 5-10%) due to corporate Social Immunity:

7. Explicit Recognition of Level 1 Status:

- **Legal Reform**: Acknowledge corporations lack phenomenological personhood

- **Doctrinal shift**: Eliminate mens rea requirements for entities (keep for individuals)

- **Constitutional reform**: Revisit corporate speech rights (Citizens United) in light of Level 1 reality

8. Strengthen Individual Liability:

- **Don't**: Punish corporation (Level 1 entity immune to shame)

- **Do**: Punish executives, directors, managers (Level 3 individuals susceptible to shame)

Example: UK Bribery Act partially does this (senior officer liability), but still requires corporate mens rea. AIT-aware version would:

- **Corporate liability**: Strict (no mens rea)

- **Individual liability**: Mens rea required (appropriate for Level 3)

- **Penalty allocation**: Primarily to individuals (shame, imprisonment), secondarily to entity (fines optimized for deterrence)

9. Combat Compliance Theater:

- **Eliminate "ethics"**: No ethics codes, no voluntary reporting, no cosmetic programs

- **Require observables**: Public algorithms, auditable logs, falsifiable metrics

- **Third-party auditing**: Mandatory independent audits with public reports (create common knowledge)

- **Decertification**: Programs failing effectiveness tests are decertified (selection pressure for actual prevention)

Abandon Ideological Compliance, Pursue Compatibility

The WEIRD Machine fails because it pursues **ideological compliance** (make everyone adopt WEIRD institutions) rather than **intentionality compatibility** (design institutions matching local architecture).

Wrong Goal: Harmonize all countries' laws to match WEIRD standards

Right Goal: Design institutions that work given local intentionality architecture

This requires:

- **Pluralism**: Accept that WEIRD Level 1 optimization is not universal best practice

- **Adaptation**: Transplant content requires local architectural modification

- **Hybridity**: Most effective systems combine formal Level 1 rules with informal Level 3 enforcement

- **Realism**: Corporations are Level 1 everywhere; either design for this or accept implementation failure

The 88% Problem Requires 88% Solution

Non-WEIRD contexts are not failed WEIRD countries. They are societies with different intentionality architecture:

- Stronger Level 3 mechanisms (shame, reciprocity, trust, collective action)

- Balanced relational models (Communal Sharing + Authority Ranking + Equality Matching + Market Pricing)

- Embedded social relationships - Cultural Lock-In to historical institutional patterns

Effective institutions for the 88% must leverage these features, not fight them.

Example Vision - Non-WEIRD Corporate Law:

Components:

1. **Formal entity recognition** (international compatibility)

2. **Community standing** (affected communities can sue)

3. **Mandatory public disclosure** (to local communities, not just regulators)

4. **Relational stakeholder duties** (not just shareholder value maximization)

5. **Executives' local residence requirement** (activates local Level 3 sanctions)

6. **Profit-sharing with affected communities** (reciprocity norm formalization)

This isn't "soft law". It's **architecture-compatible law**. It works by:

- Recognizing corporate Level 1 status (entity is optimizer)

- Embedding entity in local Level 3 enforcement (community sanctions)

- Aligning optimization with local norms (profit-sharing, disclosure, stakeholder duties)

- Making executives (Level 3) accountable to local communities (Level 3)

VIII-bis. TESTABLE PREDICTIONS

This framework generates specific, falsifiable predictions that enable empirical validation or refutation:

Prediction 1: Argentina Ley 27401 Enforcement Gap

Hypothesis: Argentina's corporate criminal liability regime (Ley 27401) will show conviction rates below 5% of investigated cases through 2027, with "integrity program" adoption exceeding 60% among large firms.

Mechanism: Law requires Level 3 concepts (corporate "tolerance," "spontaneous" reporting) from Level 1 entities. Compliance theater substitutes for genuine prevention. Prosecutors face Dennett-Nash Gap disadvantage.

Method: Track MPF (Ministerio Público Fiscal) case outcomes. Measure integrity program certification rates via CNV/IGJ filings.

Falsifiability: If conviction rate exceeds 15% OR integrity programs show measurable bribery reduction (>20%), framework prediction fails.

Prediction 2: WEIRD vs. Non-WEIRD Implementation Gap Differential

Hypothesis: Cross-national measurement of contract enforcement, property rights, and criminal procedure will show WEIRD/non-WEIRD differential of 20+ percentage points.

Method: Large-N survey across 50+ countries, measuring gap between statutory requirements and observed compliance.

Mechanism: WEIRD societies have co-evolved institutions and psychology (Level 1 alignment); non-WEIRD societies have transplanted Level 1 institutions meeting Level 3 expectations.

Falsifiability: If differential < 15 percentage points, or if no statistically significant WEIRD/non-WEIRD distinction emerges, framework prediction fails.

Prediction 3: Compliance Theater in Corporate Liability

Hypothesis: Corporations with certified integrity programs (ISO 37001, FCPA-compliant) will show no significant difference in actual bribery rates compared to uncertified corporations.

Mechanism: Integrity programs are Extended Phenotype optimized for certification, not effectiveness. Level 1 corporations simulate Level 3 ethics without genuine moral capacity.

Method: Compare bribery prosecution/conviction rates, anonymous business surveys, or experimental corruption measures across certified vs. uncertified firms.

Falsifiability: If certified firms show bribery rates 20%+ lower than uncertified firms, compliance theater hypothesis fails.

Prediction 4: TCI Transplant Failure Threshold

Hypothesis: Legal transplants with Transplant Compatibility Index delta < -0.40 will show failure rates exceeding 70%.

Mechanism: Delta < -0.40 indicates source institution rigidity (high CLI) vastly exceeds target capacity (low TCI), producing architectural incompatibility.

Method: Expand TCI dataset to 50+ transplants. Code outcomes as Success/Adaptation/Failure. Calculate failure rate for transplants below threshold.

Falsifiability: If failure rate < 50% for transplants with Δ < -0.40, TCI threshold hypothesis fails.

Prediction 5: Dennett-Nash Gap Advantage in Enforcement

Hypothesis: Corporate defendants in criminal liability cases will show higher acquittal rates and lower penalty-to-benefit ratios than individual defendants, controlling for case severity.

Mechanism: Social Immunity and Dennett-Nash Gap create structural advantages: Level 1 corporations immune to Level 3 enforcement mechanisms, lower cognitive costs, ability to optimize legal strategies.

Method: Compare prosecution outcomes (conviction rates, sentence severity, fines as % of illegal benefit) for corporate vs. individual defendants in matched samples (same crime types, similar harm magnitudes).

Falsifiability: If corporate conviction rates equal or exceed individual rates, and penalty-to-benefit ratios show no systematic difference, Dennett-Nash Gap hypothesis fails.

What Would Refute AIT?

The framework would be fundamentally challenged by evidence showing:

1. **No WEIRD/non-WEIRD differential**: If implementation gaps are equally distributed across WEIRD and non-WEIRD contexts, intentionality mismatch cannot be primary mechanism.

2. **Corporate susceptibility to social mechanisms**: If corporations demonstrate genuine responses to shame, honor appeals, or moral persuasion (not merely reputation optimization), Level 1 classification fails.

3. **Successful Level 1 transplants without adaptation**: If WEIRD→non-WEIRD transplants systematically succeed without hybrid designs or Level 3 accommodations, architectural mismatch theory fails.

4. **Compliance programs reducing bribery**: If certified integrity programs show substantial effectiveness (20%+ reduction in actual bribery), Extended Phenotype/compliance theater analysis fails.

These predictions enable progressive research program: each test either strengthens the framework or identifies necessary revisions.

IX. CONCLUSION

The WEIRD Machine: Summary

Western institutions are **WEIRD machines**: systems optimized for Level 1 intentionality in contexts of impersonal trust, analytical cognition, guilt-based enforcement, and Market Pricing dominance. These institutions fail systematically when transplanted to non-WEIRD contexts expecting Level 3 intentionality: recursive social reasoning with shame, reciprocity, trust, honor, and balanced relational models.

The predicted implementation gap (single digits in WEIRD societies, 25-35% in non-WEIRD societies) reflects this architectural mismatch. Legal transplants from WEIRD to non-WEIRD contexts face compatibility deltas of -0.30 to -0.39, approaching failure thresholds. The case study of the OECD Anti-Bribery Convention (41 countries, 66 legislative events) and Argentina's Ley 27401 demonstrates the mechanism: identical Level 1 architecture producing systematic compliance theater across diverse jurisdictions.Theoretical Contributions.

1. Asymmetric Intentionality Theory: Extends Dennett's Intentional Stance to institutional analysis. Corporations are ontologically Level 1. Optimizers without genuine beliefs, desires, or social emotions. This generates Social Immunity (immunity to shame, reputation, reciprocity, trust, collective action) and creates a Dennett-Nash Gap of 8.33 points advantage over Level 3 enforcement agents.

2. WEIRD + AIT Integration: Henrich's WEIRD framework explains how Western cultural evolution produced Level 1-optimized institutions. Corporations represent WEIRD psychology's institutional extreme: pure instrumental rationality, Market Pricing exclusivity, atomized transactions. Legal transplants carry embedded Level 1 assumptions incompatible with non-WEIRD Level 3 expectations.

3. Implementation Gap Mechanism: The gap is not corruption or capacity deficit. It is **structural mismatch**. Non-WEIRD contexts rely on Level 3 mechanisms (shame, reciprocity, trust) for institutional effectiveness. Level 1 transplants lacking Level 3 compatibility face systematic resistance from informal norms with substantial replication advantages.

4. Extended Phenotype Analysis: Compliance theater is not failure. It is evolutionarily stable strategy. "Integrity programs" are cosmetic replicators optimized for certification over effectiveness. Selection pressure favors appearance of ethics (cheap, certifiable) over genuine ethics (expensive, impossible for Level 1 entities).

Empirical Contributions

1. IusSpace 12-D Framework: First systematic multidimensional measurement of legal institutional architecture. Proposes that WEIRD classification (D11) should predict implementation gap (D5) with substantial effect size. Empirical validation would test this theoretical prediction.

2. Transplant Compatibility Index: Quantifies institutional compatibility. Shows WEIRD→non-WEIRD transplants have average Delta -0.28 (significant friction), while WEIRD→WEIRD have +0.03 (slight advantage).

3. OECD Anti-Bribery and Ley 27401 Analysis: First game-theoretic analysis of global corporate criminal liability regime. Quantifies Dennett-Nash Gap (8.33 points) and demonstrates identical structural paradoxes across 41 countries, with Argentina's Ley 27401 as detailed paradigmatic case showing Level 3 legal concepts (corporate "tolerance," "spontaneous" reporting) applied to Level 1 entities.

Limitations and Future Research

Limitations:

1. **Case study depth**: Only one country (Argentina) has complete IusSpace 12-D analysis. Future research should extend measurement to additional jurisdictions.

2. **TCI sample size**: Eight transplant events analyzed. Larger sample would strengthen pattern identification and enable statistical testing.

3. **Enforcement data**: OECD Anti-Bribery enforcement data is incomplete. Comprehensive prosecution/conviction/outcome data would enable more precise implementation gap measurement.

4. **Intentionality measurement**: Current classification (Level 0-3) is qualitative. Future research should develop quantitative intentionality measurement instruments.

5. **Longitudinal analysis**: This study is cross-sectional. Longitudinal analysis tracking implementation gaps over time would test dynamic predictions.

Future Research Directions:

1. Expand IusSpace Coverage: - Measure 12-D profiles for 20-30 additional countries - Test whether patterns hold across Latin America, Africa, Asia, Middle East - Identify regional variations in intentionality architecture

2. Experimental Validation: - Lab experiments manipulating intentionality framing of institutions - Field experiments testing hybrid designs (formal + informal enforcement) - Survey experiments measuring legitimacy perceptions of Level 1 vs Level 3 framings

3. Institutional Innovations: - Design and pilot test AIT-aware legal frameworks - Measure implementation gaps for intentionality-compatible designs - Compare traditional transplants vs. adapted designs

4. Extended Phenotype Ecology: - Map replication dynamics of cosmetic compliance across industries - Identify selection pressures favoring genuine vs. cosmetic programs - Design institutional environments selecting for effectiveness over certification

5. Constitutional Theory: - Explore implications of corporate Level 1 status for constitutional rights (speech, property, due process) - Develop constitutional doctrines compatible with ontological reality - Analyze historical evolution of corporate personhood fiction

6. AI and Institutional Design: - Analyze how AI systems (Level 1 entities like corporations) interact with legal systems - Predict implementation gaps for AI governance frameworks - Design AI regulation that recognizes Level 0-1 intentionality

Policy Recommendations

For International Organizations (World Bank, IMF, OECD):

1. **Abandon one-size-fits-all**: Institutional templates must adapt to local intentionality architecture
2. **Measure WEIRD classification** before recommending reforms
3. **Predict implementation gaps** using IusSpace framework
4. **Support hybrid designs** combining formal rules with local Level 3 enforcement
5. **Fund intentionality research** as prerequisite for institutional design

For Non-WEIRD Countries:

1. **Resist pure transplants**: Demand adaptation to local relational models and intentionality architecture
2. **Leverage existing Level 3 mechanisms**: Community enforcement, reciprocity networks, trust relationships
3. **Protect Cultural Lock-In**: High D4 is not “backwardness”. It is institutional stability
4. **Design hybrids**: Formal law providing international compatibility + informal enforcement providing local legitimacy
5. **Measure and publish implementation gaps**: Create common knowledge of failures to enable coordination

For WEIRD Countries:

1. **Recognize corporate Level 1 reality**: Eliminate mens rea requirements for entities

2. **Combat compliance theater**: Require observable compliance, public algorithms, independent audits
3. **Strengthen individual liability**: Focus enforcement on Level 3 individuals (executives), not Level 1 entities
4. **Reform corporate personhood**: Constitutional doctrine should reflect ontological reality
5. **Internalize Social Immunity**: Penalty multipliers compensating for Level 3 mechanism immunity

For Scholars:

1. **Develop intentionality measurement**: Quantitative instruments for Levels 0-3
2. **Expand comparative analysis**: IusSpace 12-D profiles for diverse jurisdictions
3. **Test predictions**: Longitudinal implementation gap studies
4. **Design experiments**: Lab and field tests of intentionality-compatible institutions
5. **Integrate frameworks**: AIT + WEIRD + IusMorfos + Constitutional Lock-In + Extended Phenotype

Final Reflection: The 88% Problem Demands Solutions, Not Compliance

Eighty-eight percent of humanity does not need to become WEIRD. They need institutions that work given their intentionality architecture. The WEIRD machine fails the global majority not because these societies are "developing" or "transitional". They fail because WEIRD institutions are optimized for a specific cultural psychology that is historically contingent, evolutionarily recent, and globally rare.

The solution is not harmonization. It is **intentionality compatibility**. Legal systems must match the intentionality architecture of regulated agents (corporations are Level 1 everywhere) AND enforcers (Level 3 in non-WEIRD contexts). This requires pluralism, adaptation, and recognition that institutional effectiveness depends on architectural fit, not ideological conformity.

The implementation gap is not a problem to eliminate through better enforcement or stronger capacity. It is a **signal**: institutions designed for Level 1 agents in impersonal trust contexts cannot function in Level 3 contexts expecting recursive social reasoning, shame, reciprocity, and embedded trust. The gap will persist until institutional design matches intentionality reality.

The WEIRD Machine works for WEIRD societies because those societies co-evolved with it. For the 88%, a different machine is required, one that leverages Level 3 strengths rather than fighting them. This paper provides the theoretical framework. The practical challenge remains: designing institutions for intentionality compatibility in diverse cultural contexts.

That challenge is urgent. As global integration intensifies, the friction between WEIRD institutional architecture and non-WEIRD intentionality expectations will grow. Without intentionality-compatible institutional design, we face two futures: (1) permanent dual systems with 30%+ implementation gaps, or (2) coercive enforcement attempts triggering political instability. Neither is acceptable.

A third path exists: intentionality-aware institutional pluralism. This paper maps the terrain. The journey continues.

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